Q2 GDP Partials & Forecast Update

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14:32 September 01 2026

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Net exports mask softer domestic demand.

Q2 GDP Forecast Update

Australia's economy stayed stuck in the slow lane, with GDP expected to rise just 0.3%qtr and 1.8%yr in Q2. We expect the June quarter National Accounts to confirm that growth has returned to the subdued pace seen through late 2024 and early 2025.

We have revised our Q2 GDP nowcast slightly higher (+0.3%qtr vs +0.2%qtr) following a stronger-than-expected contribution from net exports. Services imports fell almost 5.0%qtr, the sharpest decline since the pandemic (or the June quarter 2020), as households and businesses shelved travel plans amid the conflict in the Middle East. As a result, net exports are now expected to contribute 0.1ppt to GDP growth in Q2, a marked improvement from the 0.3ppt drag we anticipated in our Q2 GDP preview.

The stronger contribution from net exports was partly offset by softer growth in domestic demand and an unexpected rundown in inventories, particularly in the mining sector. **Public demand surprised on the downside, reflecting a decline in public investment as the infrastructure pipeline has now clearly passed its peak, particularly in NSW and Victoria.** Public demand is now growing at just 0.7%yr in six-month annualised terms, well below the pre-pandemic decade average of 3.2%yr. The outright decline in public infrastructure investment is likely releasing capacity that can be redeployed into other construction-related activities, including dwelling investment and data centre construction.

The fall in services imports, which includes international holiday travel, has also led to a modest downgrade to expected growth in household consumption in Q2, from 0.5%qtr to 0.4%qtr. Finally, inventories are now expected to detract 0.1ppt from Q2 GDP growth rather than make a flat contribution.

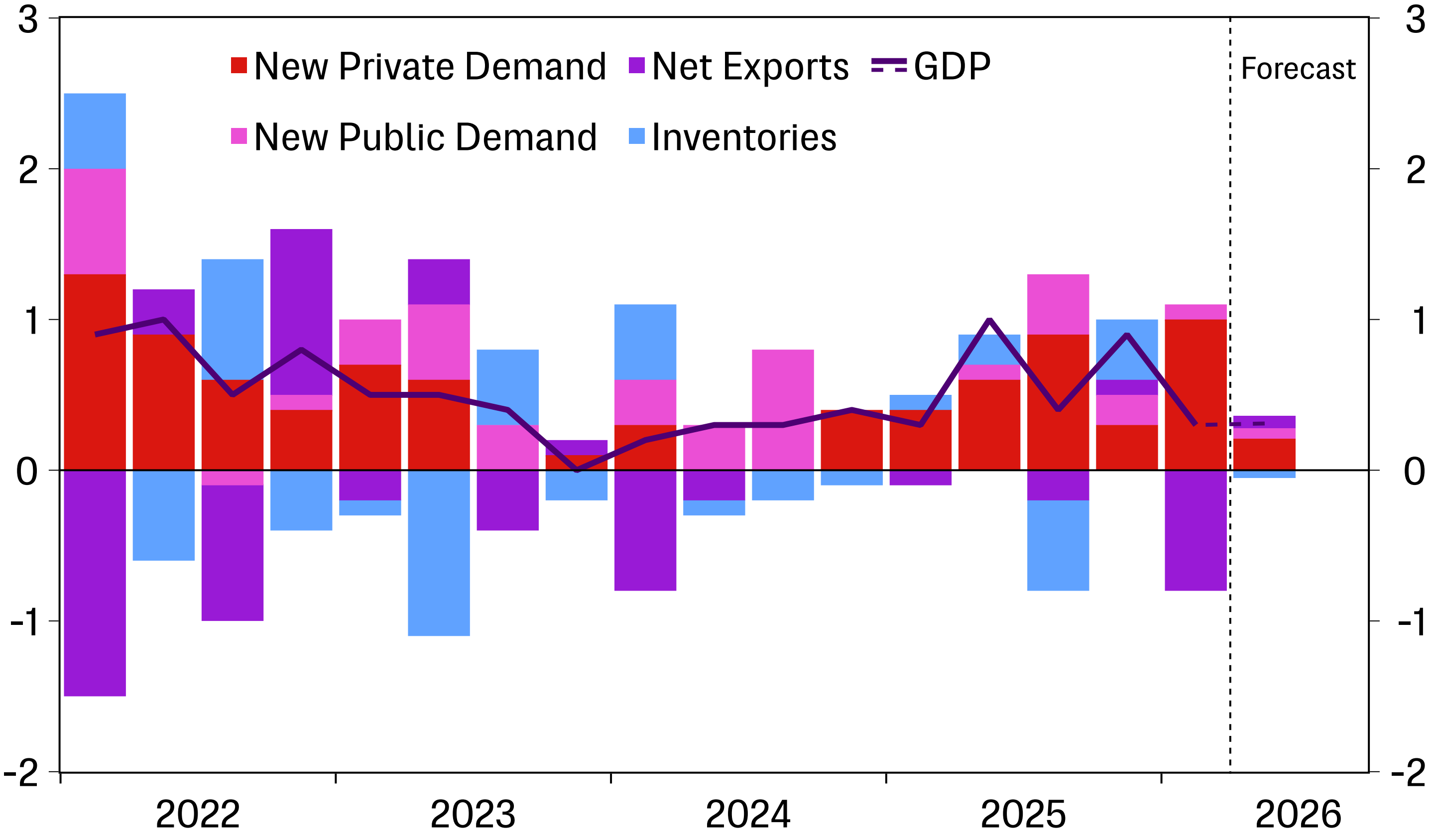
Given this update, the **domestic demand impulse** (spending by consumers, businesses and governments) is now estimated to have grown 0.3%qtr in Q2 and 3.1% over the year, marking the softest quarterly increase since December quarter 2023. This is around 0.2ppts weaker than we anticipated in our Q2 GDP preview.

The combined contribution from the **external sector and inventories** is now expected to be flat in Q2, a notable improvement from the 0.3ppt drag anticipated in our preview.

As always, these “partial” indicators should be treated with caution. They are not always a reliable guide to National Accounts components, and there are significant areas of activity for which regular partial measures are not available.

Contributions to Quarterly GDP Growth

Percentage Points

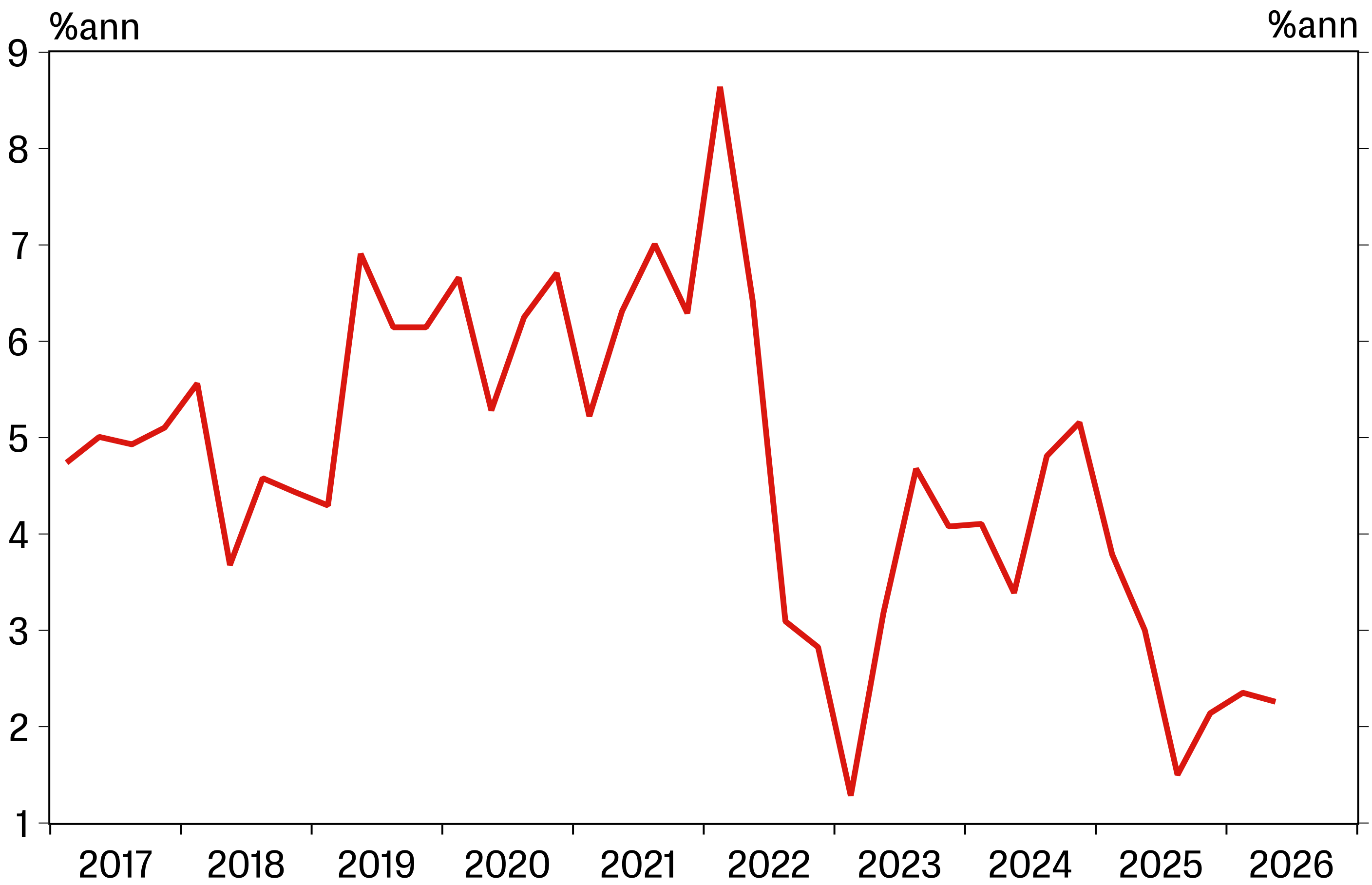


Source: ABS, Macrobond, Westpac Economics

Public Demand

Growth in total public demand fell short of our expectation, lifting 0.2% in Q2, marking yet another sluggish reading following Q1's decline of –0.5%.

New public demand



Source: ABS, Macrobond, Westpac Economics

Public consumption rose 0.6%qtr, slightly below our expectation but firmer than Q1's decline of –0.5%qtr (revised down from –0.2%qtr) which was associated with the conclusion of the Federal Government's Energy Bill Relief Fund. In Q2, the lift in public consumption was broadly based across both national and state/local levels, up 0.6%qtr and 0.5%qtr respectively. At the national level, the increase in government spending in the quarter was centred on non-defence related categories. Structural spending in programs such as the NDIS and a range of cost-of-living measures rolled out by Federal and State governments, including free public transport initiatives introduced in response to higher fuel prices, would have contributed positively during the quarter. Despite the lift in the quarter, public consumption is growing just 2.2% in year-ended terms, well down on the pre pandemic decade average of 3.5%yr.

However, total public investment was the main disappointment in Q2, falling –1.3% (note that the fall in new investment is likely smaller as total investment includes second hand asset purchases). The decline was driven by the general government sector, specifically a significant pull-back in national non-defence investment (–13.3%qtr), while public investment at the state/local level and from public corporations was little changed. We had anticipated a soft result given partial indicators to date showed public infrastructure works had fallen in the quarter as a number of major transport and energy projects were completed. In the event, however, the scale of the decline was larger than we had pencilled in, while defence investment did not provide an offset in the quarter, instead falling –2.7%qtr.

Looking ahead, public demand is unlikely to support growth in a meaningful way. Fiscal conditions are tightening, while higher yields are increasing borrowing costs, with government borrowing rising to almost $25 billion in the June quarter 2026, from $17 billion a year ago.

External Sector

Balance of Payments data showed that net trade supported growth in the June quarter, contrary to our expectation of a 0.3ppt detraction. After detracting 0.7ppt from GDP growth in the March quarter, net trade added 0.1ppt this time. As expected, goods trade was a drag, but services imports surprised significantly to the downside.

Total exports rose by 0.8%qtr, as goods exports (1.4%qtr) benefited from a recovery in major commodity outflows, particularly coal exports (11.8%qtr), after weather disruptions in Q1. Manufactured goods exports jumped 5.0%, but other major export categories were weaker – for example, rural goods exports fell more than 3%qtr, while non-monetary gold recorded a 4.1%qtr contraction.

Services exports declined 1.5%. The data highlighted two distinct themes. The first was a decline in tourism, which fell for a third quarter in a row. The second centred on education exports, which account for around 40% of total services exports and have grown very rapidly over the past 10–15 years. With the government having tightened student visa rules, the number of international students is now falling, gradually dragging education exports down with it. It has now decreased for a fourth consecutive quarter, by 1.0%qtr.

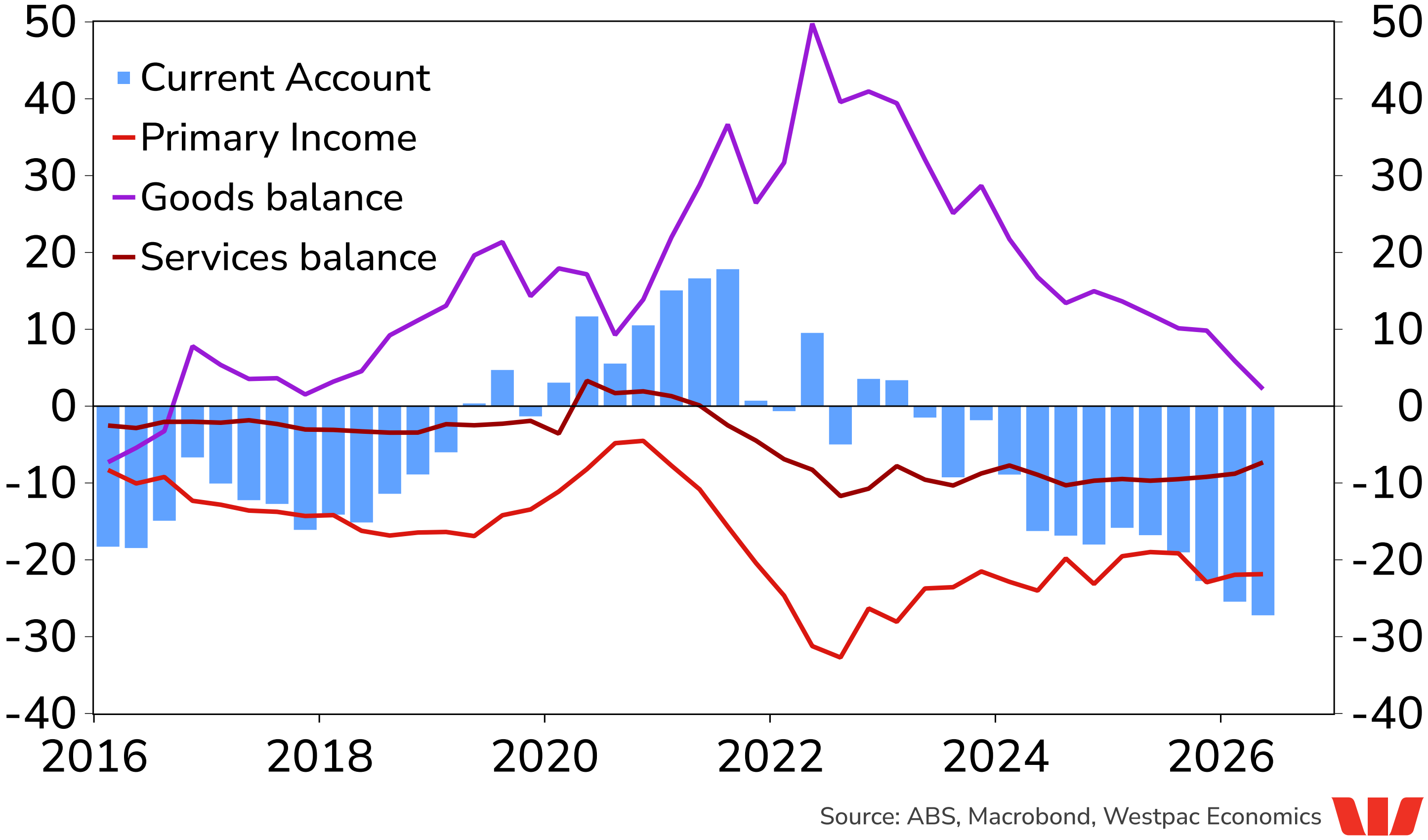
Imports rose 0.5%qtr, thanks to a 2.4%qtr increase in goods imports. As expected, Automated Data Processing (ADP) equipment imports fell by about a quarter, following an 85% increase at the start of the year. The sharp adjustment was consistent with the message from last week's capex data, which highlighted a retreat in datacentre investment after a surge in Q1. It also matches our expectation that investment flows in this area are likely to come in fits and starts.

Data for fuel and vehicle imports highlighted the impact of the global energy price shock. Fuel imports rose by 42.5% in nominal terms. Most of that jump was accounted for by price effects, but fuel import volumes were also up, by 5.7%qtr, despite the global oil supply shortages. Meanwhile, consumers reacted to the spike in fuel prices by switching to EVs, most of which are imported from China. As a result, non-industrial transport equipment imports jumped by more than a third, leaving total consumption goods imports up 7.4%qtr.

On the services side, imports plummeted almost 5.0%qtr. This was mainly due to a 12% correction in tourism, likely reflecting the impact from the Middle East conflict, which seems to have disrupted Aussie holidays abroad much more than the inbound tourism.

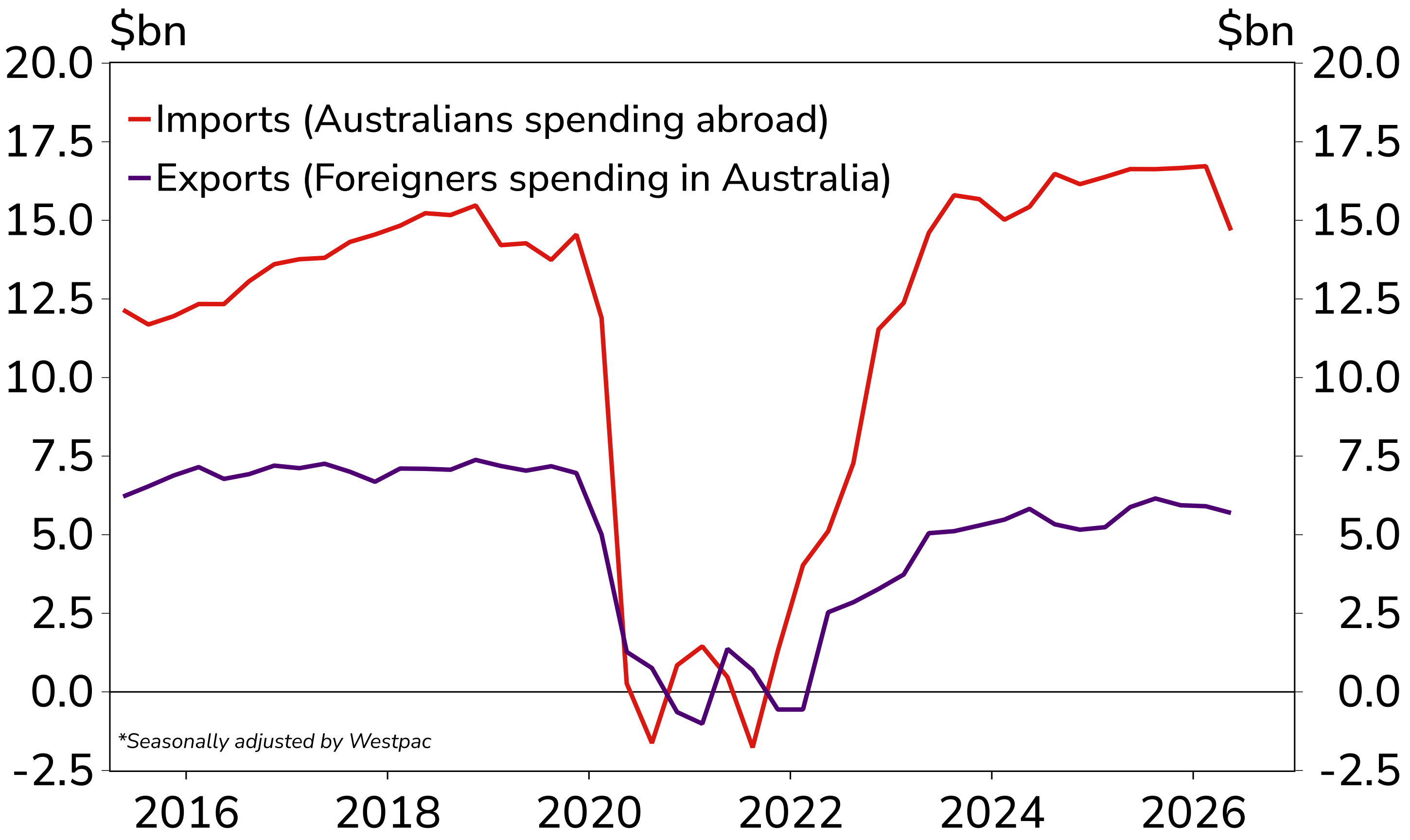
Current Account Balance

Values, $bn



In nominal terms, the current account deficit widened further in the June quarter, by almost $2bn, less than we had expected. Following the downward revision to the March quarter deficit, this left the June quarter deficit at $27.2bn, equivalent to around 3.7% of GDP. The deterioration was accounted for by a narrowing in the goods trade balance to $2.2bn, partly offset by an improvement in the services balance to -$7.3bn. Meanwhile, the primary income deficit remained little changed, as the improvement in returns on foreign assets was offset by a similar increase in returns on foreign-owned assets in Australia.

Tourism exports and imports (volume)*



Source: ABS, Macrobond, Westpac Economics

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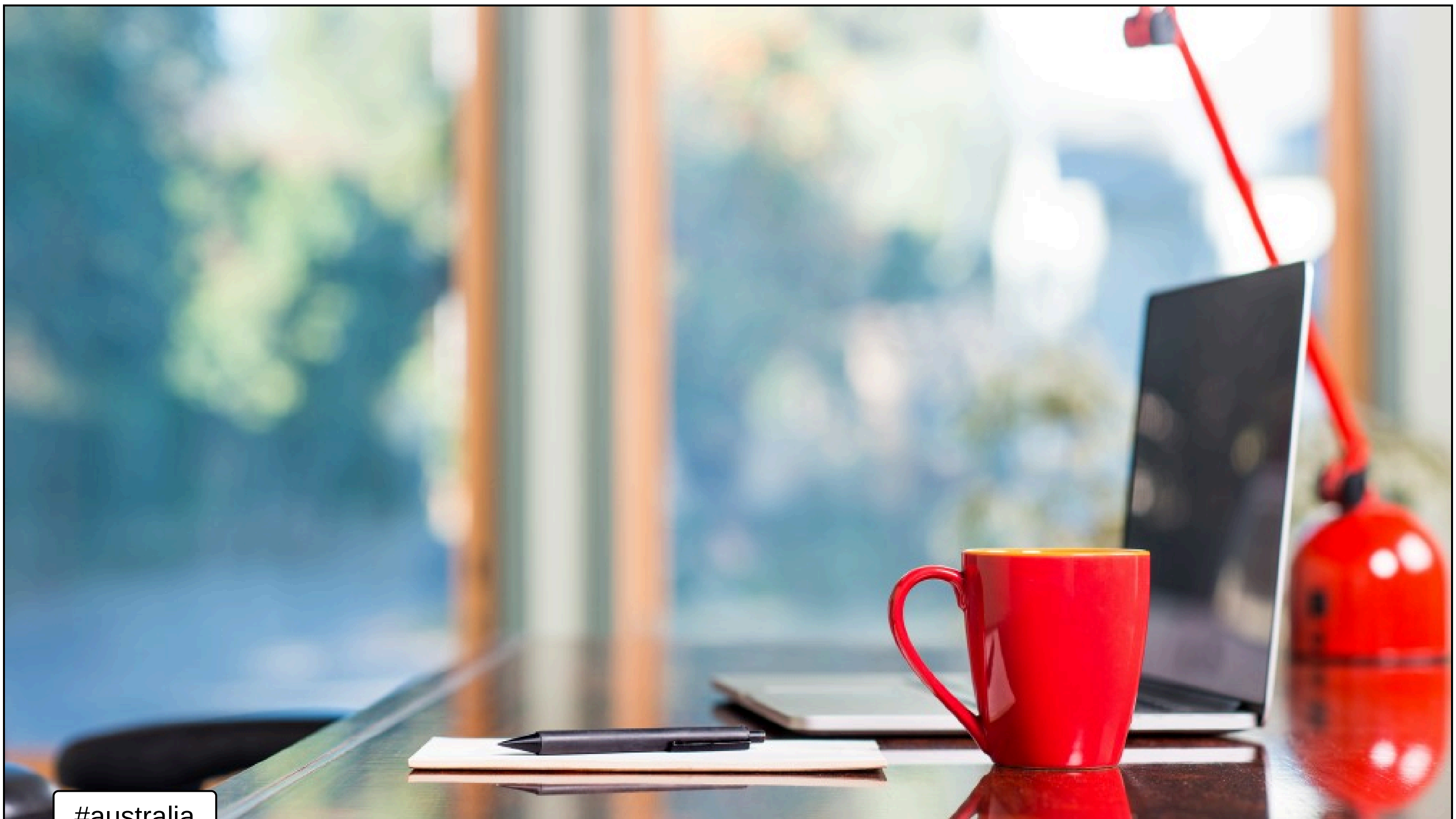

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